



The complete position

A committee service that collects through a licensed electronic money institution, charges a stated fee for the service, and holds no member money at any point.

24 September 2026 · Prepared for the chairman · Internal and counterparty use

Every statement carries a provenance mark or a stage tag. The next page sets out both.

Provenance and stage tags

Each statement shows how strongly it is known and what it depends on.

EXHIBIT 1 The two kinds of mark used throughout

Provenance	Meaning
verified	Checked against its source: the application code, a test, or a primary legal text read in full
modelled	Arithmetic or simulation, not yet measured in operation
reported	Stated by a third party: a company, a regulator, the press or a published study

Stage tag	What it depends on
BUILT	Present in the application today
TO BUILD	Specified, with no external dependency
PARTNER	The services agreement with a licensed electronic money institution
AGENT	Corporate insurance agent registration and an operator agreement
STAGE 2	Distributor registration, a trustee and an asset manager

The position in one paragraph

Halqa never takes possession of member money. A contribution moves from the paying member’s account to the collecting member’s account through a licensed electronic money institution. Halqa’s service fee is collected separately and is the only money Halqa receives from members. Where cover is taken, the takaful contribution passes to a risk fund held by a licensed operator.

Halqa requires no financial licence, seeks no regulatory approval and does not pursue a sandbox. It operates under the general law and reaches the payment system through its partner’s licence.

Source: Statutory Position, revision 3, section 1.

What is in this deck

01	The instrument and the market	What a committee is, where its risk sits, and who uses one
02	The legal position	Where the money goes, the licences that do not attach, and whose duty each duty is
03	The economics	The fee grid, the cost of carrying a committee, the rail constraint and the launch timeline
04	Hyper	The daily product in two configurations. The only section that sets out calculations
05	The product	The member journey, standing, default prevention, exit, the bureau link and the later stages
06	The evidence	Twenty-five attempts in nine markets, and the competitive position
07	State and plan	Where the company stands on 24 September 2026, the order of what follows, and what is open

01

The instrument and the market

A committee combines an advance and a savings plan in one schedule.

Its risk sits in the early seats, not across the roster.

About Rs 4 trillion rotates through committees in Pakistan every year.



A committee is two financial products in one schedule

Each member pays the same contribution every period, and each period one member collects the whole pot. At the end every member has paid in exactly what that member collected.

EXHIBIT 2 Three rounds of a twelve member circle. The lime cell collects.

Round 1	collects	pays	pays	pays	pays	pays	pays	pays	pays	pays	pays	pays
Round 2	pays	collects	pays	pays	pays	pays	pays	pays	pays	pays	pays	pays
Round 3	pays	pays	collects	pays	pays	pays	pays	pays	pays	pays	pays	pays
	seat 1	seat 2	seat 3	seat 4	seat 5	seat 6	seat 7	seat 8	seat 9	seat 10	seat 11	seat 12

The two halves

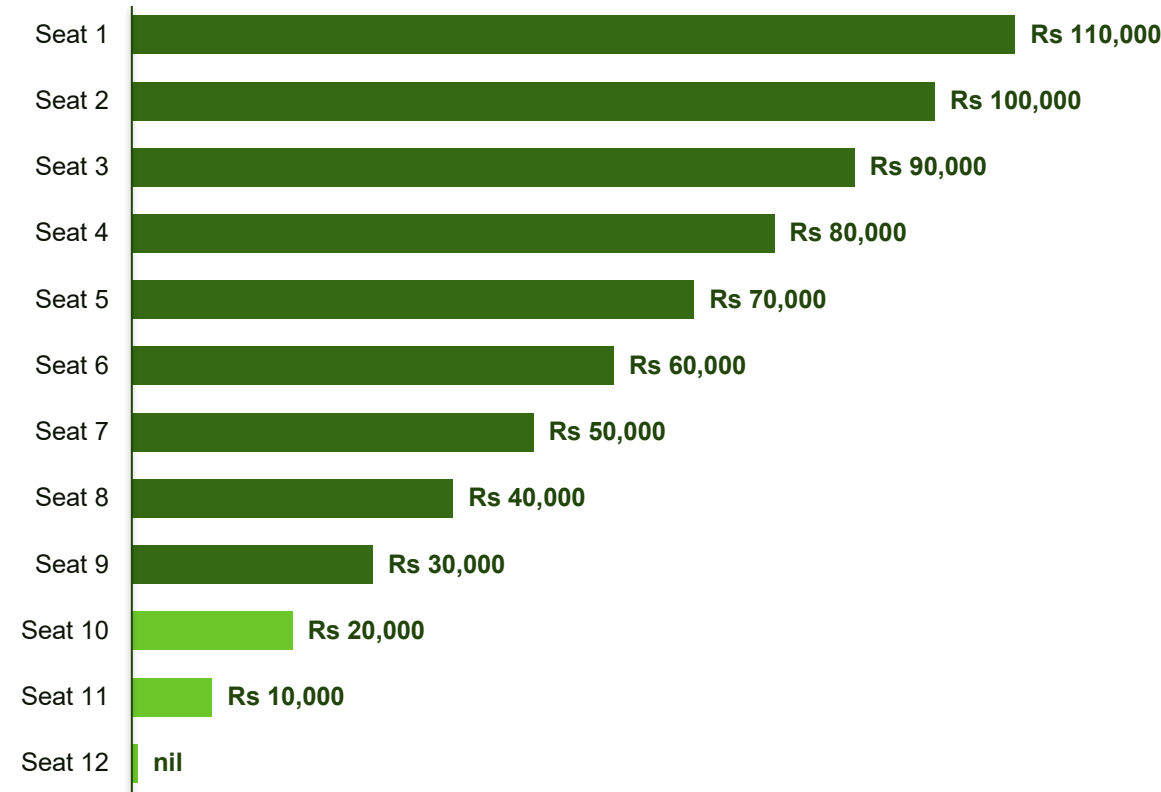
- | **Collecting early.** A member receives a lump sum before paying for it: an advance without interest, repaid in instalments.
- | **Collecting late.** A member pays before receiving: saving under a commitment the group enforces.
- | **Paid in equals paid out.** The committee holds nothing at rest and earns nothing for itself.
- | **The organiser.** In the offline committee the organiser holds the pot. Halqa removes that custody, which is the precondition of every large committee fraud on record.

Worked in rupees	Amount
Twelve members, Rs 10,000 each a month	Pot of Rs 120,000
Seat 1 collects	Rs 120,000, having paid Rs 10,000
Seat 12 collects	Rs 120,000, having paid Rs 120,000
Every member, at the end of the cycle	Paid Rs 120,000 and received Rs 120,000

The risk sits in the early seats

When a member collects, the contributions still owed to the group are that member’s forward liability. It is largest at the first seat and nil at the last.

EXHIBIT 3 Forward liability by seat, twelve members at Rs 10,000



Lime marks the only seats open to a new member, or to a member in the Rebuilding band, on a twelve member circle. verified against score-bands.ts

Who may sit early, and what stands behind them

- | **Score bands.** Four bands decide which seats a member may claim at join.
- | **New member rule.** With no history, only the final seats, until two clean circles and verification.
- | **Forward liability gate.** An early seat is withheld where the obligation left after collecting would be too large.
- | **Affordability gate.** Committed instalments are held to one third of income.
- | **Mutual guarantee and undertaking.** Signed at join, member to member, and framed for a summary suit.
- | **Cover.** Where attached, a licensed takaful operator covers default after collection.

What no control uses

A pool of money, a security deposit or a payout held back. Each would place member money with Halqa, which the design does not permit.

How the collection order is set

Two methods are offered. Two are refused, each because it would change what the arrangement is in law.

EXHIBIT 4 *Methods of setting the order, and the position on each*

Method	How it works	Position
Selection at join	The member chooses a free seat from those the band allows	Offered. The standard method
Host assignment	The host sets the order at creation	Offered where the circle policy allows
Auction	The member accepting the largest discount on the pot collects first	Refused. A price discovered between members creates a lender and a borrower
Prize or lucky draw	A drawn winner collects the pot and stops paying	Refused. A sum determined by a draw is a lottery under section 294-A of the Penal Code
Ballot by lot	Names are drawn to fix the order	Not offered. The order is set by rule or by the host

Why the auction is refused

The early collector accepts less than the pot and repays it in full. The discount is a price for money over time, which is interest in substance whatever it is called. India regulates this family separately, under the Chit Funds Act 1982.

Why the prize committee is refused

Once the winner stops paying, contributions no longer equal payouts, and most participants pay more than they can receive. The arrangement becomes a lottery funded by the members who do not win.

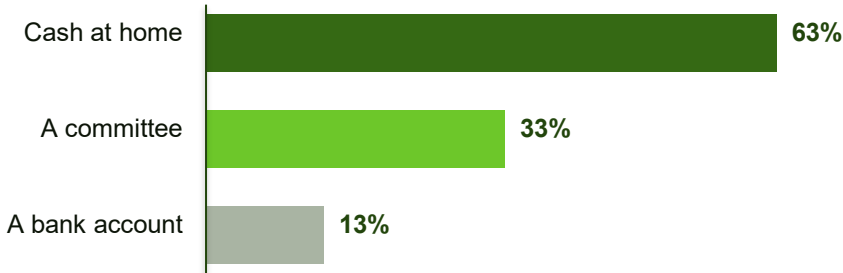
verified against the Complete Feature and Process List, revision 3, sections 4 and 6, and the Pakistan Penal Code 1860, section 294-A

The third largest savings channel in the country

The figures used in every Halqa document, with the source for each.

Rs 4 trillion	52 million	37%	12%	31%
ROTATES EACH YEAR	ADULTS PARTICIPATING	OF ADULTS HAVE USED ONE	HAVE LOST MONEY TO FRAUD	CAN SEND OR RECEIVE A TEXT MESSAGE

EXHIBIT 5 Where a Pakistani saver keeps money



The committee competes with cash held at home, not with the bank account.

Further figure	Source
36% of Pakistanis save; 4% of savers use a formal institution	Financial Inclusion Insights
19% use the pot for a one-time durable purchase	Financial Inclusion Insights
Just over half own a phone	Financial Inclusion Insights
Women participate at twice the rate of men	Financial Inclusion Insights
About 100 million lack formal financial services	World Bank
About 41% have participated; about \$5 billion rotating	Oraan research

reported. Participation estimates range from 34 to 41 per cent across sources.

Who the product serves

The research narrows the market in a way that strengthens the case with a regulator.

EXHIBIT 6 Two studies that appear to conflict, and the reading that reconciles them

Khan (2013), fieldwork in Dera Ghazi Khan Regular income is a precondition of membership. The poorest are excluded by the groups themselves as bad risks, so committees cannot substitute for microfinance.	Kamran (2017), thirty unbanked informants Committees give real control over money. None of the thirty informants had experienced a member default.
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Committees filter on the regularity of income, not its level. Both studies hold at once.

Segment	Outcome	Consequence for Halqa
Irregular or insufficient income	Excluded by the groups themselves	Outside the market, and not claimed
Regular earners without a bank account, such as a tailor on Rs 17,000 or a driver on Rs 22,000 a month	Served well, with near-zero observed default	The market: tens of millions of people

Two claims are withdrawn and appear in no Halqa material: that Halqa serves the poorest, and that committees substitute for formal finance. The claim that holds is that Halqa is an on-ramp to formal finance, through the credit score it builds from committee payments.

reported, from the two studies named

02 The legal position

No contribution passes through an account of Halqa's at any point.

Each licence that could attach is drafted against conduct that does not occur.

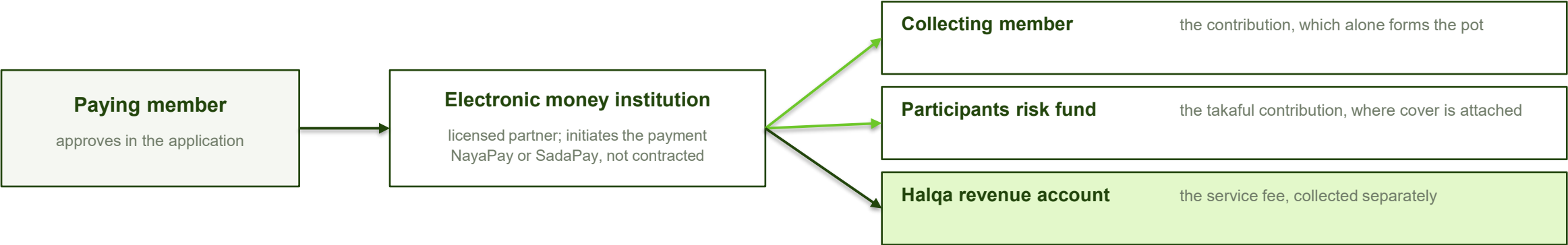
No approval is sought and no sandbox is pursued. Halqa operates under the general law.



Every payment splits three ways at the moment it is taken

The three parts are ledgered separately, reconciled separately and never mixed.

EXHIBIT 7 The path of one payment. Halqa instructs the partner and keeps the ledger; the money does not pass through Halqa.



Part	Destination	Owner of that money	Basis
Contribution	The collecting member, through the electronic money institution partner	The collecting member	The pot. The pot equals the contribution for each period, taken over every period
Takaful contribution	Participants risk fund at a licensed operator	The participants, collectively	Cover against default after collection
Service fee	Halqa's own revenue account	Halqa	An advance for services, which section 84 of the Companies Act excludes from the meaning of a deposit

No part of a contribution passes through an account of Halqa's, however briefly. Source: Business Model, revision 3, section 1; Collection and Auto-Pull Specification, revision 3, section 1.

PARTNER · NO RAIL IS CONNECTED AND NO MONEY HAS MOVED AT THIS DATE

The licences that do not attach, and why

Each prohibition is drafted against conduct. Where the conduct does not occur, the provision does not engage.

EXHIBIT 8 *Nine provisions, the conduct each governs, and why it does not reach Halqa*

Provision	Conduct governed	Why it does not reach Halqa
Companies Act 2017, s.84	Accepting deposits	Contributions settle member to member; the fee is an advance for services
PS&EFT Act 2007; EMI Regulations 2023	Issuing electronic money	No balance is issued and no funds are received
PSO/PSP Rules 2014	Providing a payment system	Initiation is the partner's service under para 7.I(f) and (h)
Companies Ordinance 1984, Part VIIIA	Lending as a finance company	Halqa advances nothing and computes no rate
NBFC Regulations 2008, peer to peer chapter	Loans between persons on a platform	No member pays another for a position
Insurance Ordinance 2000, ss.2(xxvii), 5(1)	Promising payment on another's loss	A licensed operator writes the cover; Halqa is an agent
Credit Bureaus Act 2015, s.4	Functioning as a bureau	Reports only on the member's instruction, s.19(1)(b)
Companies Act 2017, s.9	Association of more than 20 for gain	Each member receives exactly what each pays
Penal Code 1860, s.294-A	Keeping a lottery	No sum is determined by a draw

Required to operate

- Incorporation as a private limited company.
- A National Tax Number.
- A services agreement with a licensed electronic money institution.

Required when a stage opens

- Corporate insurance agent registration, before cover.
- Mutual fund distributor registration, before savings.
- Neither carries a capital requirement of the kind a financial licence carries.

verified. Each clause read in the primary text; see the Statutory Position, revision 3, sections 1 to 3, and the Legal Verification of 24 September 2026.

Collection runs through a licensed electronic money institution

The partner initiates each payment and holds any mandate. Halqa uses the service as a third party service provider and does not provide it.

EXHIBIT 9 The collection tiers

Tier	Mechanism	Member action	Cost	Used on
1	Payment initiation by the partner, over Raast where available	One approval in the application	The partner’s rate, to be agreed	Every monthly circle
2	Token mandate held by the partner	None after the first authorisation	About 1.5%, to be confirmed	Hyper, where a daily prompt is impractical
3	The member sends over Raast to the collector’s Raast ID	The member initiates	Nil	Always available
Fee	Raast Request to Pay sent by Halqa, the payee of its own fee	One approval	Nil at present	Halqa’s fee only

A Raast Request to Pay settles to the merchant that sends it, under the Raast person to merchant terms published by Bank Alfalah. A contribution collected that way would land in Halqa’s account, which is the acceptance of a deposit under section 84(1) of the Companies Act 2017. Halqa therefore sends a Request to Pay only for its own fee.

Why the partner is an electronic money institution

The 2023 Regulations allow an electronic money institution to provide payment initiation and aggregation (para 7.1(f)) and to serve a fintech through its interface (para 7.1(h)), after 30 days’ notice to the State Bank. A payment service provider “will not act as custodian of consumer’s money” (PSO/PSP Rules 2014, rule 6.5).

Why a mandate is lawful

A preauthorised transfer “may be authorized by the Consumer either in writing, or in any other accepted form” (PS&EFT Act 2007, s.35(1)). The member may stop it by notifying the financial institution (s.35(2)), and cancelling the mandate does not end the commitment to the circle.

Whose duty each duty is

Duties under the payment statute bind the member's bank and the licensed partner. Halqa supports each by design and by contract, and carries the bureau and agency duties itself.

EXHIBIT 10 Eleven duties, the party each binds, and how Halqa meets or supports it

Duty	Instrument	Owed by	How Halqa meets or supports it	Stage
Disclose the terms at contracting	PS&EFT s.30(1)	Financial institution or Authorized Party	Terms screen before any mandate	To build
21 days' notice of a material change	PS&EFT s.31(1)	Financial institution or Authorized Party	Notice job on the mandate record	To build
Honour a stop instruction	PS&EFT s.35(2)	Financial institution	Cancellation in the application, effective at once	To build
Investigate an alleged error in 10 Business Days	PS&EFT s.36(2)	Financial institution or Authorized Party	Dispute ticket with a ten day clock	To build
Adverse action pack where a report restricts a seat	CBA 2015 s.31	Halqa, as user	Report, bureau details, summary of rights, statement that the bureau did not decide	To build
Disclose credit information only as authorised	CBA 2015 s.26	Halqa	Bureau data never shown to other members	To build
Pay the gross premium to the insurer	CIA Regulations 2020, reg 5(4)	Halqa, as agent	Takaful contribution passes to the operator in full	Agent
Claims paid in the member's own name	reg 7(4)	The operator	Halqa supplies the payment record; never paid to a circle	Agent
No fee for distributing cover	reg 8(3)	Halqa, as agent	The service fee covers the committee service only	Agent
Show a bundled product's cost separately	reg 11(1)(d)	Halqa, as agent	Cover stated apart on the join sheet	Agent
Coerce no prospect to buy cover	reg 10(c)	Halqa, as agent	Counsel's written opinion on compulsory cover before Hyper opens	Open

verified. Presenting the payment statute's duties as Halqa's own would characterise Halqa as an Authorized Party, which is the reading the design avoids (Legal Verification, section 3).

What changes in the code before the partner agreement

The application still carries constructs of the August design. Each is removed before the partner agreement is executed, and the listed components are built before the first live collection.

To be removed

The turn premium recorded from buyer to seller, and the ten per cent marketplace fee taken on it.

The early fee distributed to members.

Member-held balances accruing an indicative rate.

Security deposits held with accrued yield, and payout holdbacks.

Every annualised rate computation and every rate ceiling, including the bid arithmetic of the earlier daily design.

The prize draw surface.

Any seat price that varies with the collection day, on any cadence.

Ballot by lot and credit weighted ordering, which the circle creation route still accepts.

To be built

The three way split, with each part written to its own ledger account.

The two identity assertions at circle creation.

The mandate register, the authorisation screen, the confirmation, the cancellation and the advance notice.

The arrears record, expressed as owed to the member left short and never as a balance.

The bureau instruction screen and the adverse action pack.

The fee schedule stating every charge before commitment.

Payment initiation and the mandate through the partner's interface, with Halqa's fee collected separately.

verified. Source: Statutory Position, revision 3, section 7. The final line of the left column is verified against the circle creation route in the application code on 24 September 2026.

03 The economics

One flat fee per instalment, set by instalment size and roster size.

Rs 100 an instalment covers the cost of an open circle; every band above carries margin.

A percentage rail against a flat fee is the binding constraint.



A flat fee per instalment, stated before any commitment

The fee is set by instalment size and roster size, and is the same for every seat on the roster.

EXHIBIT 11 Fee per instalment on monthly circles, in rupees, paid to Halqa

Instalment	2 to 6 members	7 to 10 members	11 or more
Up to Rs 2,500	100	100	150
Rs 2,501 to 5,000	100	150	200
Rs 5,001 to 10,000	150	300	500
Above Rs 10,000	200	400	500

The national average instalment of Rs 6,400 falls in the third band.

EXHIBIT 12 Fee discounts. The largest applicable discount is taken; they do not stack.

Condition	Effect	Basis
Guarantee cheque held on file	80% off	Opens a route under section 489-F of the Penal Code
Income slip and employer verified	50% off	Certain and traceable income
Salary account linked	Mandatory	Required on any roster of strangers. Not a discount

Why the fee is flat

A fee graded by collection day is priced on the advance and reads as interest. Members in later seats are compensated by Halqa in points and fee waivers issued from its own revenue, never by another member.

Why the fee is lawful

The Explanation to section 84 of the Companies Act 2017 excludes “an advance against sale of goods or provision of services in the ordinary course of business” from the meaning of a deposit. A fee charged in advance for a service is revenue.

TO BUILD · THE PUBLISHED FEE SCHEDULE IS LISTED IN SECTION 02

What it costs to carry one committee for a year

Reference case: twelve members, Rs 2,500 each, collected monthly, for one year.

EXHIBIT 13 The reference case

Line	Basis	Amount
Instalments collected	12 members over 12 rounds	144
Messaging	2.3 sends per payment	in the per payment figure
Identity	Rs 200 per member, amortised	in the per payment figure
Support	1 contact per 20 payments at Rs 150	in the per payment figure
Compute and storage	Rs 25 per member per year	in the per payment figure
Cost per payment	All in, excluding the rail	Rs 12.60
Operating cost for the year		Rs 1,815
Fee revenue for the year	At the Rs 100 band	Rs 14,400
Contribution before the rail		Rs 12,585

Rs 100 an instalment is the point at which an open circle covers its own operating cost. Every band above it carries margin.

EXHIBIT 14 Monthly cost at four sizes

Stage	Monthly cost	Per member
Bare platform, before launch	Rs 14,000	n/a
With recovery, monitoring and support tooling	Rs 58,000	n/a
100,000 members	Rs 1,304,000	Rs 13
10,000,000 members	Rs 110,000,000	Rs 11

At 100,000 members, Rs 614,000 a month is platform and usage and Rs 690,000 is people. People are the larger half and do not fall with volume, so support contacts per payment is the figure to watch.

modelled. Assumptions: Rs 280 to the dollar; 2.3 messages per payment; one support contact per 20 payments at Rs 150. Source: Business Model, revision 3, sections 4 and 7.

A percentage rail against a flat fee is the binding constraint

The rail takes a rising share of the fee as the instalment grows, so the collection tier is chosen by cost.

EXHIBIT 15 A rail at 1.5 per cent against the fee, by product

Product	Instalment	Rail at 1.5%	Fee	Share of the fee
Hyper, Option 1	Rs 450	Rs 6.75	Rs 75	9%
Hyper, Option 2	Rs 500	Rs 7.50	Rs 83.33	9%
Monthly circle	Rs 2,500	Rs 37.50	Rs 100	38%
Monthly circle	Rs 5,000	Rs 75	Rs 150	50%
Monthly circle	Rs 20,000	Rs 300	Rs 500	60%

Card collection at 3.3 per cent plus Rs 33 would take 64 per cent of Hyper fee revenue and is never offered on instalments.

Two responses, not exclusive

Agree a price per transaction for the partner's initiation on monthly circles, rather than a percentage.

Establish with the partner whether its charge can be passed to the payer.

Where the mandate is used

Only on Hyper, where the instalment is small and a daily approval is impractical. At Rs 450 the rail takes 9 per cent of the fee.

modelled. The 1.5 per cent rate is indicative and is to be confirmed with the partner. Source: Business Model, revision 3, section 5.

Where the revenue comes from

Every source is a charge for a service or a commission from a licensed counterparty. None is a share of money passing between members.

EXHIBIT 16 Revenue sources and the stage at which each opens

Source	Basis	Stage
Service fee	Flat per instalment, by instalment size and roster size	Partner
Fill uplift	Where Halqa rather than the host completes a roster	Partner
Rehabilitation fee	Where a defaulted position is restored at the member's request	Partner
Agency commission	From the takaful operator, about 15 per cent of contributions	Agent
Distribution commission	From the asset manager on savings subscriptions	Stage 2
Leasing origination	On asset circles, once a leasing structure exists	Later
Aggregate insight	Sold without identifying any member	Later
White label	The service licensed to a licensed institution	Later

Deliberately absent

No share of any amount between members, no interest, no rate, no discount on a payout, no share of fund profit, and no float income, because nothing is held.

Points and waivers

Issued by Halqa to members in later seats, in place of any payment from other members. Funded from the service fee and booked as a liability when issued. Redeemed against later fees, or against goods with a commerce partner: Daraz, foodpanda or Careem, none contracted.

Source: Business Model, revision 3, sections 2 and 8.

From a standing start to live money

Engineering is not the constraint. The registration path is.

EXHIBIT 17 Launch timeline, in days

Step	Days	Notes
SECP incorporation	2 to 5	Start immediately
National Tax Number	1 to 2	Automatic after incorporation
Provincial sales tax	3 to 5	In parallel
Company bank account	7 to 14	The longest step in registration
Partner application	1	Requires the certificate, the tax number and the bank account
Partner approval	14 to 21	The largest unknown. The enquiry goes before incorporation
Partner's notice to the State Bank	0 to 30	Para 7.1(h): 30 days before its interface services begin, unless already given
Integration and live credentials	5 to 10	Overlaps approval
Standard circles live	30 to 45, up to 75	75 if the partner's notice starts only when Halqa signs
Corporate insurance agent registration	28 to 56	Cannot start before the company exists
Hyper live, once cover is in place	75 to 90	Without cover, default risk would sit on Halqa's balance sheet

The engineering

The code changes set out in section 02, the partner adapter, the mandate lifecycle, reconciliation and the blocking platform gaps together run about three weeks, inside the registration path.

Source: Business Model, revision 3, section 9.

04 Hyper

A daily product in two fixed configurations, for members with daily income.
Each day's payers pay that day's collectors directly, so no party holds a pool.
The only section of this deck that sets out calculations.



Two configurations, each balanced at source

Two identities govern every rotating committee. A configuration that breaks either is refused at creation.

$$\text{pot} = \text{contribution} \times \text{days}$$

$$\text{roster} = \text{members collecting each day} \times \text{days}$$

EXHIBIT 18 The two configurations

Parameter	Option 1	Option 2
Cycle	50 days	26 active days, Sundays excluded
Roster	400 members	390 members
Collecting each day	8	15
Paid each day	Rs 450	Rs 500
Contribution, takaful, fee	Rs 300 / 75 / 75	Rs 333.33 / 83.33 / 83.33
Pot, collected once	Rs 15,000	Rs 8,666.67
Identity 1	$300 \times 50 = 15,000$	$333.33 \times 26 = 8,666.67$
Identity 2	$8 \times 50 = 400$	$15 \times 26 = 390$
Paid in over the cycle	Rs 22,500	Rs 13,000
Cycle value	Rs 6,000,000	Rs 3,380,000
Monthly commitment	Rs 13,500	Rs 13,000

Why 390 on Option 2

400 does not divide into 26 days. At 390 the roster gives exactly 15 collecting each day and reproduces the Rs 8,666.67 pot precisely.

What sits outside the pot

The takaful contribution and the service fee never enter the pot. Identity 1 holds on the contribution alone.

Daily settlement without a pool

Each day the members who are not collecting are divided among that day’s collectors, and each pays one collector directly.

EXHIBIT 19 One day of settlement

Quantity	Option 1	Option 2
Paying each day	392	375
Collectors each day	8	15
Payers assigned to each collector	$392 \div 8 = 49$	$375 \div 15 = 25$
Received from assigned payers	$49 \times \text{Rs } 300 = \text{Rs } 14,700$	$25 \times \text{Rs } 333.33 = \text{Rs } 8,333.33$
Collector’s own contribution, set off	Rs 300	Rs 333.33
Pot	Rs 15,000	Rs 8,666.67

Both configurations divide exactly. Every collector receives the full pot from named members, and no day’s money is held by Halqa, by the partner or by anyone else. A payment company “will not act as custodian of consumer’s money” (PSO/PSP Rules 2014, rule 6.5); this design never asks one to.

The fee on Hyper

- | **Paid to Halqa and to no member.** Company revenue for the committee service.
- | **Never for distributing cover.** An agent “shall not charge, to the policyholder, any service fee” unless the insurer includes it in the premium (reg 8(3)).
- | **Flat across the roster.** A fee graded by collection day would read as interest.
- | **Later seats compensated by Halqa.** Points and fee waivers from Halqa’s own revenue.
- | **No auction, no bidding, no rate.** A price discovered between members creates a lender and a borrower.
- | **Discounts.** Guarantee cheque 80 per cent off; verified income 50 per cent off; the largest applies.

Source: Hyper Committee, revision 5, sections 4 and 5. Grace after the daily due time is 12 hours.

Cover is written by a licensed takaful operator

Section 5(1) of the Insurance Ordinance 2000 admits only a public company as insurer, so the cover is bought from an operator and never written by Halqa.

EXHIBIT 20 The risk fund over one cycle

Fund figure	Option 1	Option 2
Contribution per member per day	Rs 75	Rs 83.33
Contribution per member per cycle	Rs 3,750	Rs 2,166.67
Fund built over the cycle	Rs 1,500,000	Rs 845,000
Default rate the fund covers	50%	50%
Operator's commission to Halqa at 15%	Rs 225,000	Rs 126,750

EXHIBIT 21 Expected loss and the cover it requires

Default rate p	Option 1 loss	Cover a day	Option 2 loss	Cover a day
10%	Rs 300,000	Rs 15.00	Rs 169,000	Rs 16.67
30%	Rs 900,000	Rs 45.00	Rs 507,000	Rs 50.00
50%	Rs 1,500,000	Rs 75.00	Rs 845,000	Rs 83.33
100%	Rs 3,000,000	Rs 150.00	Rs 1,690,000	Rs 166.67

The agent's obligations

- | **Gross premium.** Passed to the operator in full; the agent "shall not retain any part of the insurance premium" (reg 5(4)).
- | **Commission.** Computed on premiums the insurer has received (reg 8(2)).
- | **Claims.** Paid by the operator to the member left short, in that member's own name (reg 7(4)).
- | **Bundle.** The cost of cover is shown apart from the committee (reg 11(1)(d)).
- | **Coercion.** Whether compulsory cover sits within reg 10(c) is for counsel's written opinion before Hyper opens.
- | **Deficit and surplus.** A deficit is met by an interest-free advance from the operator's shareholder fund; a surplus is distributable to participants.

Expected loss on a cycle = roster × default rate × half a pot. At a 100 per cent default rate the cover required equals the whole daily margin. Candidates: Pak-Qatar Family Takaful, Salaam Takaful; none contracted.

The collapse threshold, and the bands before it

The point at which a circle would owe more than it can collect, derived and then instrumented so the host sees it coming.

EXHIBIT 22 Five results

- | **Arrears before collection recover themselves.** A member who missed j contributions receives the pot less j contributions, paid on that day to the members left short.
- | **The only true loss is default after collection.** A member collecting on day t and stopping owes one contribution for each remaining day. Day 1: Rs 14,700; day 25: Rs 7,500; day 50: nil.
- | **Expected loss.** $\text{Roster} \times \text{default rate} \times \text{half a pot}$; half the default rate as a share of cycle value.
- | **The hard stop.** Once unrecovered exposure E exceeds the cover limit C , no further day opens until E is below C .
- | **Daily shortfall.** On Option 1, 50 missed payments on one day equal exactly one pot.

EXHIBIT 23 The stress index, 0 to 100, recomputed each day

Axis	Measure	Weight
Severity	Unrecovered exposure against cover plus one pot	45%
Breadth	Defaults after collection against pots covered	20%
Behaviour	Share of roster with a prior late payment	15%
Persistence	Age of arrears in 12 hour periods, capped at 6	10%
Timing	Day reached out of the cycle	10%

EXHIBIT 24 An Option 1 circle under stress, cover at 8 pots

Day	Defaults	Exposure	Index	Band	Action
5	0	Rs 0	1.2	Green	Reminders only
12	1	Rs 14,100	11.8	Green	Case tracked
20	3	Rs 37,800	28.6	Green	Host told, operator on notice
30	6	Rs 64,800	49.5	Amber	New joins blocked
38	9	Rs 81,000	64.0	Amber	Claim prepared
45	13	Rs 93,600	72.1	Red	Next day not opened

modelled. Bands: green 0 to 33, amber 34 to 66, red 67 to 100. The hard stop applies whatever the index. Source: Hyper Committee, revision 5, sections 8 and 9.

Revenue on one cycle, and who may take a seat

The default loss falls on the risk fund, not on Halqa, which is the purpose of the split.

EXHIBIT 25 Revenue and cost on one cycle

Line	Option 1	Option 2
Fee revenue	Rs 1,500,000	Rs 845,000
Operator’s commission at 15%	Rs 225,000	Rs 126,750
Gross revenue	Rs 1,725,000	Rs 971,750
Payment events	20,000	10,140
Rail at 1.5% on the mandate	(Rs 135,000)	(Rs 76,050)
Payment cost at Rs 12.60	(Rs 252,000)	(Rs 127,764)
Net per cycle	Rs 1,338,000	Rs 767,936
Expected default loss at 5%, borne by the fund	Rs 150,000	Rs 84,500

The rail line assumes Halqa bears the partner’s charge; it falls away if the charge is passed to the payer.

EXHIBIT 26 Entry gates

Gate	Reason
Salary account linked	Mandatory on a roster of strangers
Minimum standing	A daily obligation leaves little room to recover
2 clean circles	Monthly behaviour is the only reliable predictor
Highest identity level	The roster is drawn from strangers
Daily or near-daily income	A monthly salary does not support a daily instalment
Affordability on the monthly figure	Rs 13,500 on Option 1; Rs 13,000 on Option 2
No open default	Closed to any member in difficulty

EXHIBIT 27 Late ladder after the daily due time

Step	Elapsed	Penalty	Standing
Grace	0 to 12 hours	None	No change
First	12 hours	5%	Less 20
Second	36 hours	10%	Less 40
Third	60 hours	15%	Less 60
Default after collecting	Any	As above	Less 200

modelled. Penalties on Shariah labelled circles are given to charity at the end of the circle. Source: Hyper Committee, revision 5, sections 10 to 12.

05 The product

The member journey from signup to a completed circle, with the control at each step.

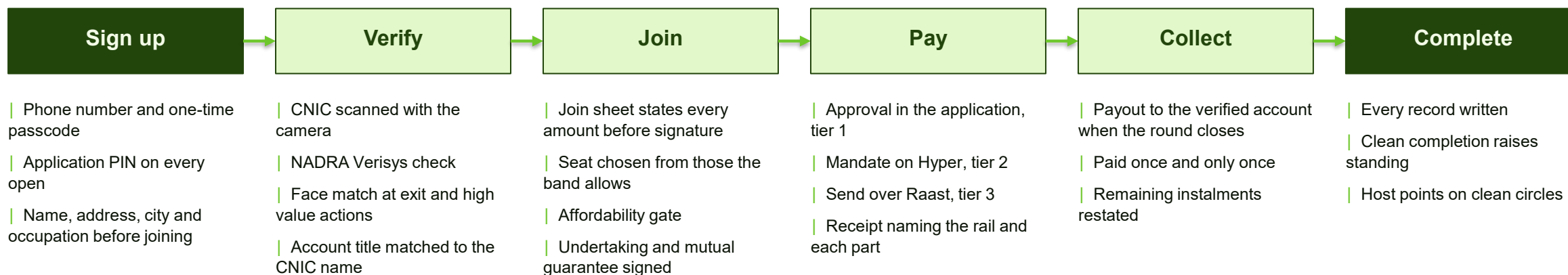
Standing decides which seats a member may claim, never the order once a circle starts.

There is no cancel button. Exit is a ladder with published arithmetic.



From signup to a completed circle

Each step carries the control that applies to it.



Messaging and records

Notices over the WhatsApp Business Platform on approved templates, one consolidated daily notice on Hyper, and statements, receipts, the schedule and a full data export for every member.

Status

The status of each feature is tracked item by item in the Work Register. Identity capture and the home location pin are blocked in production by the permission policy, and NADRA Verisys awaits the corporate agreement.

Source: Complete Feature and Process List, revision 3, sections 1, 5, 7, 9, 16 and 17.

Standing decides which seats a member may claim

The score never reorders a circle once it starts. It limits which free seats are offered at join.

EXHIBIT 28 The internal score, 300 to 850, in four bands



Band	Seats a member may claim at join
Rebuilding	The last three seats, never earlier than the second half of the order
Fair	Any free seat in the second half of the order
Good	Any free seat
Excellent	Any free seat

- | **New accounts.** Open at 700, in the Good band.
- | **New member rule.** Whatever the score, a member with no history takes only the final seats until two clean circles are complete and verification is done.
- | **Turn swap.** Two members exchange positions at no price, with host approval, and both bands must permit the new positions.

Why the signal is strong

Households rank the committee instalment above rent and utility bills. An informant in Kamran (2017), a housemaid earning Rs 15,000 a month, described the instalment as the one payment that is not missed.

A score built from committee payments therefore carries the strongest repayment signal the household has.

Affordability and exposure

Committed instalments are held to one third of income, against a regulatory norm of two fifths. Obligations across every circle held are summed before a seat is granted.

verified against score-bands.ts; Complete Feature and Process List, revision 3, sections 2 and 14.

Prevention, recovery and exit

Most members never reach recovery. Exit runs on a ladder, and nothing is held by Halqa at any step.

Prevention

Affordability gate at one third of income.
 Forward liability gate on early seats.
 Band confinement and the new member rule.
 Host vetting of every member.
 Mutual guarantee and a ten clause undertaking.
 Guarantee cheque, 80 per cent off the fee.
 Salary account on stranger rosters.
 Collection aligned to the inferred pay day.
 Reminders that escalate before the due date.
 Feature lock while a default is open.

Recovery

Grace window, then a late ladder of three steps, each with a stated penalty.
 On Shariah labelled circles the penalty is given to charity at the end of the circle.
 A recovery case at the third step.
 Contact routes to a hardship statement, a waived fine and a revised date.
 Silence routes to restitution, then the guarantee and any takaful claim.
 A summary suit on the undertaking is the last step.
 No collection calls and no contact lists, at any stage.

Exit ladder

1. Window withdrawal: inside the 24 hour confirming window, free and unrecorded.
2. Substitution: a replacement takes the seat at no premium.
3. Group approved exit: a 72 hour vote, majority of votes cast, 50 per cent quorum.
4. Hardship exit: a recorded statement, the fine waived, annotated as hardship and not default.
5. Abandonment: not an exit; the recovery path applies.

Where no replacement is found, each member who has already collected owes the leaver one contribution, settled at completion.

verified against exit-ladder.ts. Defaulting on a signed guarantee is a civil matter: recovery is by summary suit under Order XXXVII of the Code of Civil Procedure and needs a decree first.

The bureau link

Committee repayment history exists in no bureau today. Halqa can supply it through a private bureau without a financial licence.

| **Route to a report.** On the member's written or electronic instruction under section 19(1)(b) of the Credit Bureaus Act 2015. Section 19(1)(a) is confined to credit institutions.

| **Bureau.** A subscriber agreement with TASDEEQ, with DataCheck as the alternate. Neither is contracted.

| **State register.** The State Bank's eCIB is closed to non-banks and is not a source.

| **Writing back.** Repayment history is furnished once the Federal Government notifies furnishers that are not credit institutions, under section 11(1).

| **Adverse action.** Where a report restricts a seat, the member receives the pack that section 31 requires.

| **Scale.** Reports arrive on the TASDEEQ scale of 200 to 600 and are held apart from the internal score of 300 to 850.

Measured elsewhere

Mission Asset Fund, a San Francisco non-profit, runs lending circles on the Mexican tanda and reports each payment to the three US bureaus. It reports an average score increase of 168 points for participants.

Precedent at home

Karandaaz, a non-bank, has signed a data agreement with TASDEEQ.

verified for the statute; reported for Mission Asset Fund and Karandaaz.

| TO BUILD · BUREAU SUBSCRIBER AGREEMENT

Cover and savings sit with licensed institutions

Each opens only when its registration is in hand, and neither places member money with Halqa.

Cover

Written and priced by a licensed takaful operator: Pak-Qatar Family Takaful or Salaam Takaful, none contracted.

Contributions sit in the participants risk fund, which the participants own and the operator manages.

Offered at creation and at join on standard circles; a fixed part of every payment on Hyper.

Claims paid by the operator to the member left short, in that member's own name.

Halqa registers as a corporate insurance agent and earns a disclosed commission.

Savings

A fund managed by a licensed asset manager, Mahaana Wealth as candidate, with the Central Depository Company of Pakistan as trustee. None contracted.

The trust deed is executed on paper, because the Electronic Transactions Ordinance does not reach a trust (section 31(1)(c)).

Money passes from the member to the trustee collection account directly, and units are issued in the member's own name.

Halqa is an execution-only distributor: nothing is recommended, and it takes no share of fund profit.

AGENT FOR COVER · STAGE 2 FOR SAVINGS · SOURCE: FEATURE LIST, REVISION 3, SECTIONS 20 AND 21

06 The evidence

Twenty-five attempts across nine markets, reduced to the same questions.

Every failure held member money, guaranteed it, or removed the rotation.

A national wallet launched a committee product in August 2026.



The finding, before the evidence

Of twenty-five attempts, every failure held member money, guaranteed member money, or removed the rotation that makes a committee a committee. Every durable success kept the money outside itself, or paid the full regulatory cost of holding it.

EXHIBIT 29 The eight causes of failure

#	Cause	Cases
1	Custody: holding the pool	Punjab cooperatives, TAG, Sidra Humaid, Saradha, and the ceiling Oraan met
2	Guarantee burden: the platform as payer of last resort	eMoneyPool
3	Stranger pooling: trust without a social graph	Yahoo Tanda, Puddle, Oraan's first model
4	Removing the credit half: no early pot	UBL Kommittee
5	Adding interest to an instrument defined against it	UBL Kommittee, and every auction model in Pakistan
6	A ledger without settlement	Udhaar Book, DigiKhata
7	Charging the member for access	Oraan's first model, subscription committee applications
8	Rules written after a scandal, around another firm's model	India after Saradha; Pakistan after nano-lending

reported, from company disclosures, regulator actions and the press across nine markets.

The four models that work, and what each shows

None competes for Halqa’s position. Each confirms one part of it.

Case	Reported scale	Mechanism	What it shows
Money Fellows, Egypt	8 million downloads; about \$1.5 billion processed across 2 million circles; profitable in 2025	Custody under a licence. The seat is priced, and the platform covers defaults from its own capital	Digital committees reach millions and profit. A priced seat and a platform guarantee need a licence; Halqa carries neither
Hakbah, Saudi Arabia	1.3 million registered users; a SAMA sandbox permit	Treated the jam’iyya as an institution to respect, with the central bank as first partner	Central banks regulate the activity in comparable markets
Mapan, Indonesia	Acquired by GO-JEK in 2017	Village organisers form and run circles; the pot is often delivered as goods	The unit of growth is the organiser, paid for organising
The Money Club, India	About 200,000 users and 17,000 clubs	Members start small; clean history unlocks larger clubs	Seats, and in time amounts, should scale with demonstrated history

reported, from company disclosures and the press.

The value is in the credit history, not in holding money

The cases that created the most value converted an obligation people already honour into a formal credit history.

Esusu, United States

Began as a communal savings application, then turned to reporting on-time rent to Equifax, Experian and TransUnion. In January 2022 it raised a \$130 million Series B led by SoftBank Vision Fund 2 at a \$1 billion valuation.

eMoneyPool and Chamasoft

eMoneyPool reported members' payment histories for nine years and failed carrying the guarantee on its own balance sheet. Chamasoft in Kenya shows that where an excellent payment rail exists, the platform layer that survives is the data.

In the United States the obligation households already honour is rent. In Pakistan it is the committee instalment, which households rank above rent. Halqa applies the same approach to it: the credit score built from committee payments is the asset that compounds, while the fee pays for the service.

reported, from company disclosures and the press.

The competitive position

The category is proven and contested at the same time.

Player	What it offers	Threat	The difference
JazzCash Committee	Launched 13 August 2026. Rotates among contacts; the pot is collected into an administrator’s wallet; the administrator sets the order; no exit before the cycle ends; fees not published	High	Halqa holds no pot, sets the order by rule and publishes an exit path
Oraan	Custody, a licence, member fees and pooling of strangers	Low	Each structural choice is the opposite of Halqa’s
Money Fellows	Custody under an Egyptian licence	Low in the near term	Entry would need a Pakistani licensing programme
Ledger applications	Udhaar Book and DigiKhata record debts but produce no credit history	Low on substance	DigiKhata completed the State Bank sandbox’s first cohort, on open banking
UBL Komitee	A deposit product under the committee name, with no rotation	Low	It removes the credit half

The defence

Become the layer a wallet would rather integrate than rebuild: the committee service offered by interface to licensed institutions, which the Business Model lists as later revenue.

reported. JazzCash Committee observed in the JazzCash application release of August 2026 and summarised in the Business Model, revision 3, section 10.

What a balance sheet removes from a committee

UBL Kommittee Account: a deposit product from one of Pakistan’s largest banks, sold under the committee name.

What was removed	Consequence
The rotation	No member receives a pot early. The credit half disappears, and with it the reason early members join
The peers	No group and no social enforcement, hence an instalment holiday no real committee could offer
The structure without interest	A fixed return on deposits came in: interest, in the form committee culture defines itself against

A 24 month plan at Rs 100,000 a month pays Rs 2,500,000 for Rs 2,400,000 paid in: less than an ordinary savings account paid over the same period.

The lesson

A balance-sheet institution cannot run the committee, because its value lies in what a balance sheet must remove: credit between peers without interest, enforcement without collateral, and money that never becomes the institution’s liability.

Banks can hold group savings. They cannot rotate group credit.

FNB’s stokvel accounts in South Africa work because most stokvels accumulate rather than rotate, so a bank account serves that instrument.

reported, from the published product terms.

Any credit-adjacent product is judged against the loan apps

Four hundred predatory loan applications were blocked in 2023 and 2024. Every permission Halqa requests is read against them.

How they worked

Loans of Rs 1,000 to 25,000 over 7 to 90 days, priced for mass default and recovered through social coercion: contact harvesting, calls to relatives, altered photographs and rollover debt. A case in Rawalpindi ended in a suicide, an FIA crackdown and more than twenty arrests.

What was banned, most of it even with consent

SECP Circulars 3, 10, 14 and 15 of 2023 and 8 of 2024: no contact list or gallery access; contact only a separately consented guarantor; an exposure cap of Rs 25,000 per application; a Key Fact Statement; borrower data kept in Pakistan. Google Play, 31 May 2023: personal loan applications may not read contacts, photos, precise location or storage.

reported, from SECP circulars, the Google Play policy and the press.

What Halqa refuses, on the record

- | **Contact lists.** Only on-device hashed matching is acceptable.
- | **Gallery, text messages, call log and the list of installed applications.** Never requested.
- | **Background location.** A single home pin at signup only.
- | **Screen reading of bank applications.** Declined, because it is the loan-app signature and reads the whole screen.
- | **A public default list.** The flag stays internal.

The loan apps coerced because they lent to strangers without collateral. In a committee the seat is the collateral, an unproven member is confined to the final seats, and the circle already exists.

07 State and plan

Where the company stands on 24 September 2026.

What must happen, in order, before live money.

What remains open.



Where the company stands

As of 24 September 2026.

Dimension	State
Company	Not yet incorporated. Incorporation is the first step of the launch timeline
Product	Web application live since 20 July 2026 and not opened to the public. The interface is being rebuilt to the standard of the national wallets
Money	No rail is connected and no real money has moved. Payments settle in a sandbox
Code	Constructs of the August design remain and are to be removed before the partner agreement
Partner	None contracted. The enquiry to NayaPay and SadaPay is drafted and not sent
Regulator	Mentored informally by the Chairman of the Commission. No formal engagement
Documents	Six documents re-issued on 24 September 2026, each quotation checked against the primary text

Blocking in production

Identity capture and the home location pin are blocked by the permission policy, which sets camera and geolocation to none.

Demonstration data is to be wiped before the first real member.

No error monitoring and no versioned migrations.

Chat polls every six seconds.

verified against the repository and the production configuration on 24 September 2026.

Named counterparties, none contracted

Each is the intended or candidate counterparty for its function.

Function	Counterparty	Needed for
Electronic money institution	NayaPay or SadaPay, to be confirmed against the State Bank register	Collection, tiers 1 and 2
Payment aggregator	PayFast or Safepay	Halqa's own fee only
Instant payment rail	Raast, operated by the State Bank of Pakistan	Tier 3 and the fee
Wallet rails	JazzCash and Easypaisa	Members paying from a wallet
Interbank switch	1LINK	Interbank transfers
Identity verification	NADRA, through a corporate Verisys agreement	Verification
Credit bureau	TASDEEQ, with DataCheck as the alternate	Reports on instruction
Takaful operator	Pak-Qatar Family Takaful or Salaam Takaful	Cover
Trustee	Central Depository Company of Pakistan	Savings, stage 2
Asset manager	Mahaana Wealth	Savings, stage 2
Messaging	WhatsApp Business Platform	Notices and passcodes
Points redemption	Daraz, foodpanda or Careem	Points and waivers
Infrastructure	Vercel, Supabase, Cloudflare	Hosting, database, edge

Source: Business Model, revision 3, section 11.

What happens next, in order

The first three steps run together. Nothing after them can be reached until they are done.

Now	Send the partner enquiry	To NayaPay and SadaPay first, before incorporating, since partner approval is the largest unknown.
Days 1 to 14	Make Halqa a company	SECP incorporation, National Tax Number, provincial sales tax and a company bank account.
In parallel	Change the code	Remove the constructs of the August design and build the components listed in section 02, about three weeks.
Days 14 to 45	Partner approval and integration	Approval, the partner’s notice under para 7.I(h), and live credentials. Standard circles live at 30 to 45 days, up to 75.
Days 28 to 90	Cover, then Hyper	Agent registration and an operator agreement, and counsel’s opinion on compulsory cover. Hyper live at 75 to 90 days.
Then	Bureau and savings	The TASDEEQ subscriber agreement, and the distributor registration with a trustee and an asset manager.

Source: Business Model, revision 3, section 9; Statutory Position, revision 3, section 7.

The pre-mortem: it is 2029 and Halqa has failed

Each row names the mechanism and the signal that would show it starting.

Cause	Mechanism	Early signal
Collection never became real	The partner declined direct settlement or priced initiation above the fee; members returned to cash	Share of instalments settled through the partner
An organiser used Halqa's standing for an offline scheme	A clean record on Halqa shown as proof for a large scheme elsewhere	Organisers running many circles at once, member concentration, implausible growth
The wallets took the category	JazzCash Committee reached its users first; distribution beat design	JazzCash Committee changes and any Easypaisa release
Regulatory reclassification	A committee fraud elsewhere produced rules shaped around custody, with no carve-out	Consultation papers from the State Bank or the Commission
Losses beyond the model	The default band stayed modelled and real losses landed outside it	Measured default after collection in the first hundred completed circles
The founder ran out of time	Product, regulation, partners and research all ran through one person	Time between shipped milestones

The organiser risk is addressed before public launch: a cap on concurrent circles per organiser, a flag on implausible growth, and a credit passport confined to on-platform history.

The five numbers that show whether this is working

A committee arrives as a formed network of ten to fifteen people with a leader. The measures follow from that.

- | | | |
|---|--|---|
| 1 | Share of instalments settled through the partner | The health of collection, and the most important number in the company. |
| 2 | Circles completed clean | The unit of value. A circle that never finishes proves nothing about its members. |
| 3 | Circles per organiser | Whether growth compounds. A host's second circle brings the whole group back. |
| 4 | Measured default after collection in the first 100 circles | The point at which the modelled band becomes a fact. |
| 5 | Members who become organisers | The growth loop inside the product. |

Cost per organiser replaces cost per user: one organiser brings ten to fifteen members who already trust one another.

What is unresolved

Each item has an owner and a route to an answer.

#	Question	Route to an answer
1	Whether compulsory cover on Hyper sits within regulation 10(c) of the Corporate Insurance Agents Regulations 2020	Counsel's written opinion before Hyper opens
2	Whether the intermediary limb of the Anti-Money Laundering Act definition reaches Halqa	Counsel, in writing
3	Whether the partner can debit one member and credit another directly, split one debit three ways, and at what price	The partner enquiry
4	Whether any category of furnisher that is not a credit institution has been notified under section 11(1) of the Credit Bureaus Act	The bureau and the State Bank
5	Whether to reproduce the offline organiser's habit of covering a defaulter, or rely on seat rules, the guarantee and cover	A ruling by the chairman
6	The regulatory route. Halqa's reading is that no approval is needed; an informal view on 22 September pointed to the State Bank's sandbox	The reading is put back for comment before any filing



Every serious competitor in this market earns by holding money.

Halqa earns a stated fee for a service, and holds none.

That is a different business, with a different regulator, a different cost structure and a different failure mode.